STRATEGIC BUSINESS ANALYSIS
INTEGRATED FINANCIAL MODEL & VALUATION

Micron Technology (MU)

Three-Statement Model
Driver-Based Revenue Build
Scenario Analysis
DCF Valuation
Sensitivity Analysis

Tyler Spencer | May 26, 2026

$686B

Base-case DCF implied enterprise value

CONTENTS

EXECUTIVE SUMMARY

MODEL TYPE
Three-Statement Financial Model & DCF Analysis

FORECAST PERIOD
FY2026 – FY2030
Five-year explicit forecast

METHODOLOGY
Revenue Build → Scenario Analysis → Operating Assumptions → Financial Statements → DCF

Key Takeaways

Revenue Growth: Increasing demand and constrained supply drive revenue and margin expansion through FY27. As new supply comes online after FY27, average selling prices (ASPs) decrease. Bit demand will likely remain high through the five-year cycle.

Gross Margin Expansion: Micron's gross margin has expanded dramatically from 22.4% in FY24 to 39.8% in FY25 to over 70% in FY26. Based on sensitivity analysis, the gross margin expansion is the largest driver of Micron's increasing EPS.

Valuation: The model derives Micron's value bottom-up, using a revenue build through the integrated statements to a DCF yielding an intrinsic enterprise and equity value. The public market serves as a benchmark: as of 5/26/26, Micron traded within a 52-week range of $92.22–$916.76.

Sensitivity Analysis: The model shows vastly different economic outlooks for Micron, demonstrating the cyclical nature of the business and the sensitivity of the assumptions. The DCF analysis shows a $573.01/share difference between the ceiling of the best-case scenario and the floor of the weak case scenario.

COMPANY OVERVIEW

Strategic Position

Only U.S.-based DRAM maker; founded 1978; global memory and storage leader.

Technology Edge

DRAM is 80% of revenue; HBM is the high-ASP catalyst for AI workloads.

Financial Profile

FY26 revenue expectation $111B (3x FY25); gross margin guided to 70+%.

NAND & Storage

Shifting NAND from low-margin consumer to high-value data-center SSDs.

Key Customers

NVIDIA, Apple and hyperscalers (AWS, Microsoft, Google).

Product Portfolio

DRAM, NAND and SSDs across mobile, auto and industrial markets.

Market Position

#3 global memory maker, behind Samsung and SK Hynix.

Business Model

Vertically integrated; commodity memory plus contracted HBM supply.

Educational project. Not associated with Micron Technology Inc.

INDUSTRY OVERVIEW

Market Structure

Memory is a $237B market split between DRAM (compute) and NAND (storage); Micron is one of only a few scaled global producers of both.

Concentrated Supply

DRAM is a three-player oligopoly. Samsung, SK Hynix and Micron hold 95% of supply; NAND is more fragmented across roughly six producers.

Cyclical Pricing

Highly cyclical: ASPs swing sharply as bit-supply growth from new fab capacity runs ahead of or behind end demand.

Demand Drivers

Demand from AI data centers and high-bandwidth memory (HBM), plus mobile, automotive and edge computing, is fueling the current super-cycle.

MEMORY MARKET AT A GLANCE

$237B

Global memory market 2026 (DRAM + NAND)

95%

Top-3 producers' share of DRAM supply

AI & THE SUPER-CYCLE

AI training and inference are driving record demand for high-bandwidth memory (HBM), which consumes 3–4× the wafer capacity per bit of standard DRAM. With HBM largely sold out, capacity is being pulled from conventional DRAM, while disciplined post-2023 capex keeps supply tight, lifting prices across both DRAM and NAND.

MODEL OVERVIEW & METHODOLOGY

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1. Revenue Build
DRAM & NAND: bit-demand × ASP

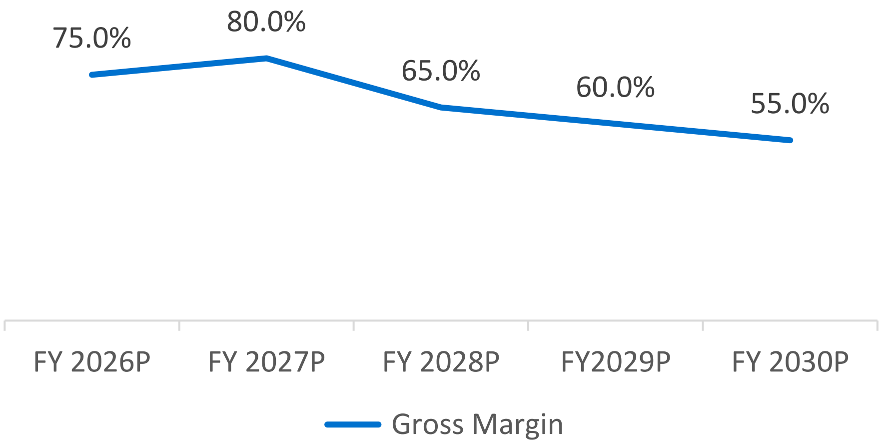
2. Operating Assumptions
Margins, opex & capex as % of sales

3. Scenario Toggle
Best / Base / Weak Case

4. Three-Statement Model
Integrated IS · BS · CF with supporting schedules

5. DCF & Valuation
Unlevered FCF to intrinsic value

Forecasted Gross Margin



Key Considerations

Formerly considered a commodity, is the memory industry structurally re-rating to key AI Infrastructure?

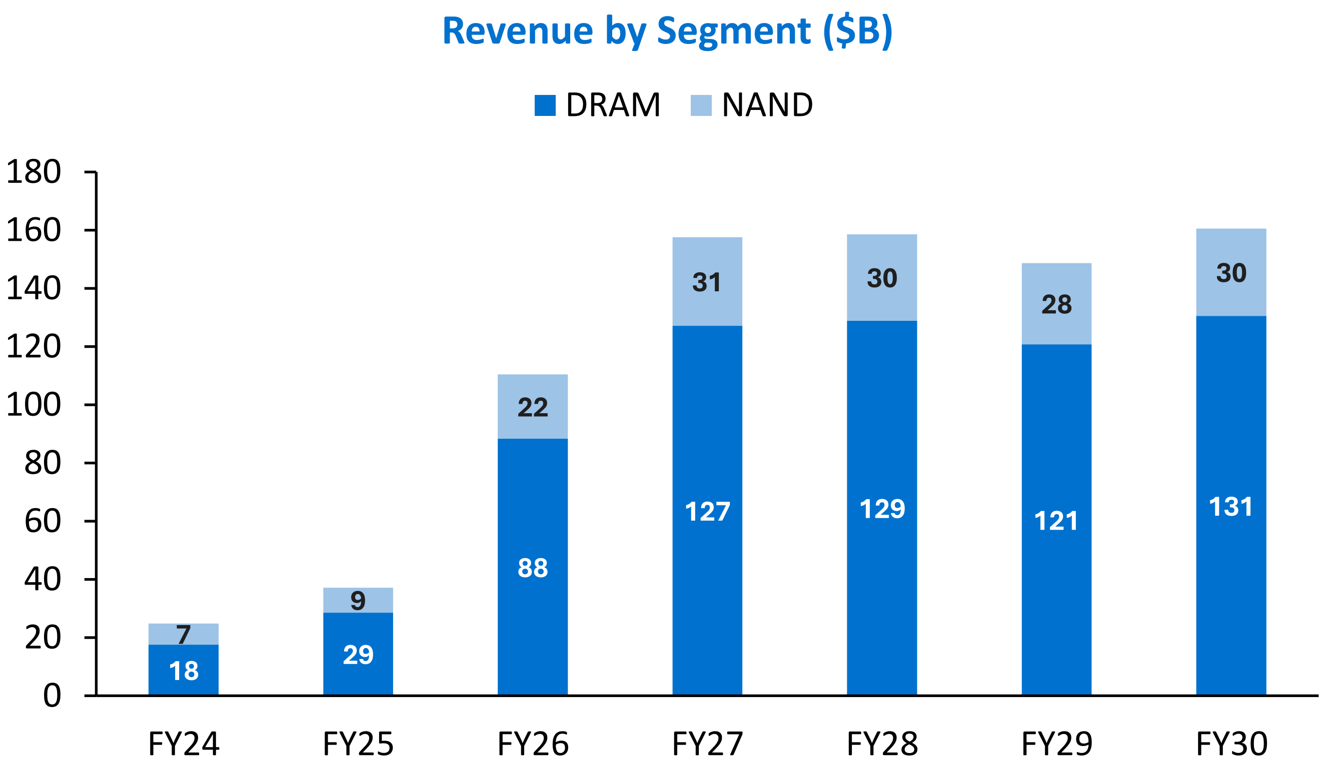
Memory supply will remain constrained through FY27 when new capacity comes online. How will this affect assumptions for FY28, FY29, and FY30?

Is Micron's cost of capital decreasing? 12.6% is grounded in historical data, but does not necessarily reflect the future of the business. This model suggests a beta of 1.3 with a WACC of 10.67%.

REVENUE FORECAST

Key Takeaway

Revenues have grown by more than 4x in two years due to demand growth for AI Infrastructure and supply constraints that have dramatically increased average selling prices (ASP).



+198%

FY26 revenue growth - AI memory super-cycle

80%

DRAM share of revenue — the primary growth and margin driver

$161B

FY30 revenue, more than 4x the FY25 base of $37B

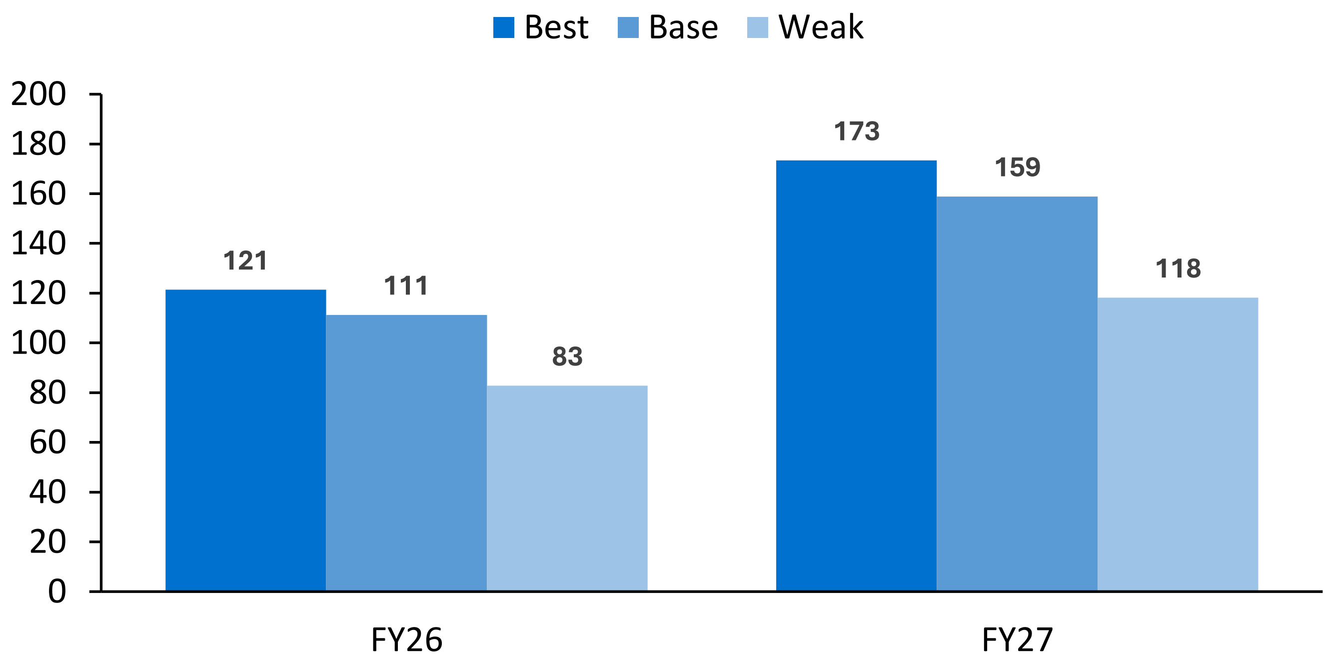
Segment revenue from DRAM + NAND build; FY24–FY25 actual, FY26–FY30 forecast.

SCENARIO ANALYSIS

Key Takeaway

Best case scenarios have limited upside considering Micron is approaching the super-cycle ceiling. While the weak case scenario is less realistic in the short term, it demonstrates the long-term impact of Micron's cyclicality.

Total Revenue by Case ($B)



CASE ASSUMPTIONS (vs. base)

Driver	Best	Weak
DRAM volume	**+10%**	**–25%**
NAND volume	**+10%**	**–25%**
Gross margin	**+5%**	**–10%**
R&D % of rev.	**–1%**	**+1%**
SG&A % of rev.	**–1%**	**+1%**

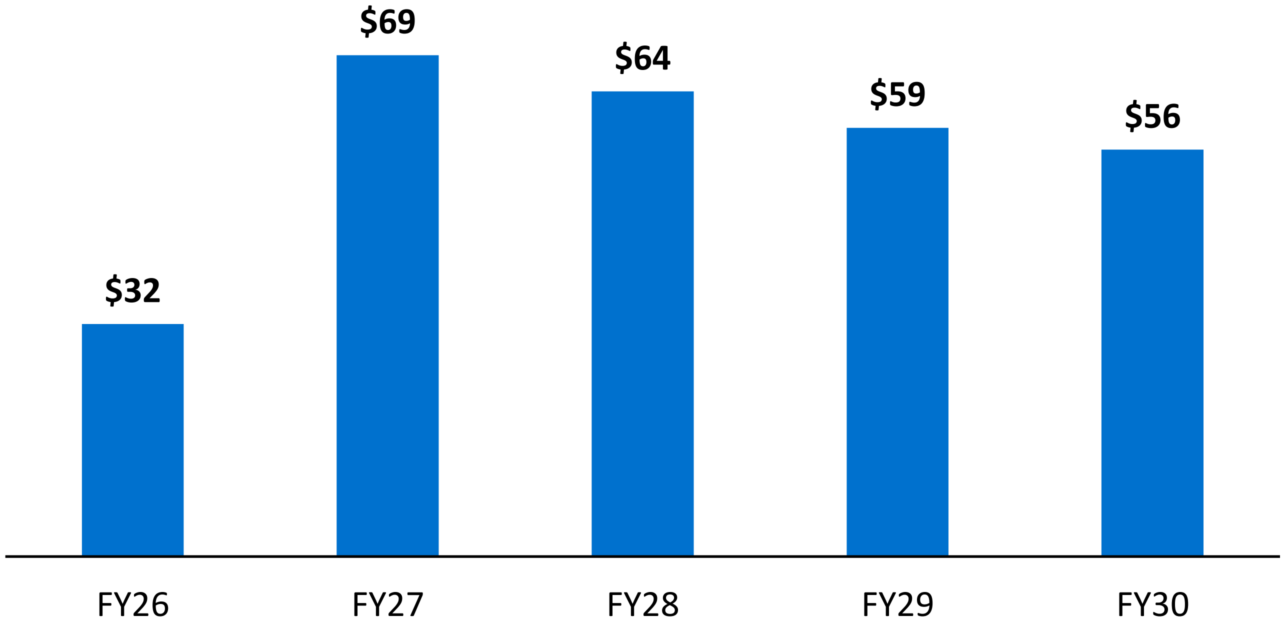
Best/Weak flex DRAM & NAND volumes, gross margin, and opex ratios around the base case.

DCF ANALYSIS

Key Takeaway

Base case supports an enterprise value of $686B and equity value of $693B ($615/share) under the assumption of a lower than historical cost of capital, a 3% long term growth rate, and gross profit margins at/above 55%.

Unlevered Free Cash Flow ($B)



VALUATION SUMMARY

Enterprise value	**$686B**
(+) Net cash	**$7B**
Equity value	**$693B**
(÷) Diluted shares	**1,125M**
Implied value / share	**$615.89**
Public price (5/26/26)	**$896**
Discount to 5/26 market	**31%**

10.67%	**3.0%**	**1.3**	**71%**	**7.9x**
WACC	LT GROWTH	EQUITY BETA	TV % OF EV	EV / EBITDA Year One

SENSITIVITY ANALYSIS – THREE STATEMENT MODEL

Key Takeaway

FY26 EPS is most sensitive to gross margin: a ±5pp shift moves diluted EPS by about $3.50, outweighing revenue-growth swings.

FY26 DILUTED EPS — GROSS MARGIN (rows) vs. REVENUE GROWTH (columns)

Gross margin	+180%	+190%	+198%	+205%	+215%
85%	$57.49	$59.56	$61.12	$62.65	$64.72
80%	$53.55	$55.47	$56.93	$58.35	$60.28
75%	$49.60	$51.38	**$52.74**	$54.06	$55.84
70%	$45.66	$47.30	$48.54	$49.76	$51.40

$52.74
Base-case FY26 diluted EPS

$45.65 – $64.72
EPS range across the grid

$3.49
EPS uplift per +5pp gross margin

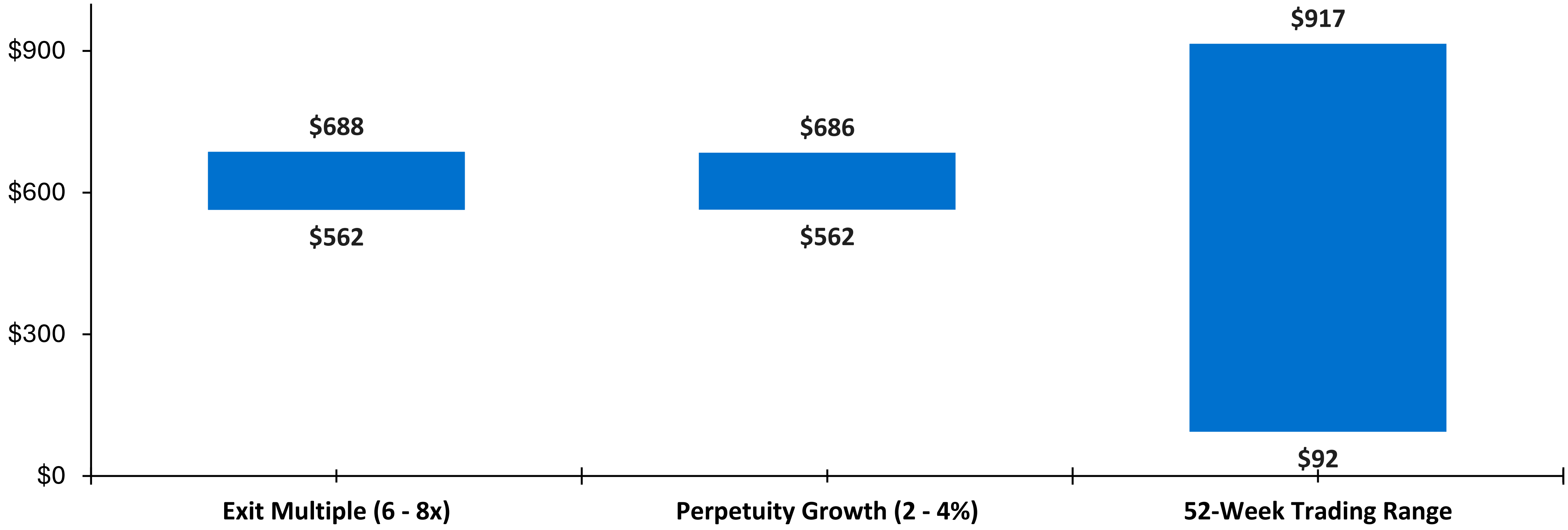
First-forecast-year (FY26) diluted EPS; base case = 75% gross margin, +198% revenue growth.

SENSITIVITY ANALYSIS – DCF ANALYSIS

Key Takeaway

Micron may be nearing the peak of its super cycle. WACC, growth rate, exit multiple, and other financial statement assumptions can be adjusted to reflect a higher valuation.

DCF Equity Valuation Range ($ / share)



Ranges reflect 2–4% perpetuity growth and 6 – 8x exit EBITDA at a 10.67% WACC; 52-week trading range shown for reference. Current price $896 · base-case DCF $615.89

KEY TAKEAWAYS

1 AI super-cycle inflection

Memory demand from AI data centers and HBM drives model revenue more than 4x from FY23 to FY27, while constrained supply drives higher gross profit margins.

2 DRAM-led economics

DRAM is 80% of revenue and the primary margin driver; gross margin peaks near 80% in FY27 then reduces as new supply becomes available. Analysts debate what long-term gross profit margins will be and there is less certainty post 2027.

3 DCF-derived valuation

Base-case DCF arrives at an equity value of $693B at a WACC of 10.67%. This may be very conservative. UBS set a target share price of $1,625[1], reflecting a structural re-rating toward an AI-infrastructure multiple. This model does not attempt to carry that thesis.

4 Margin and WACC are key assumptions

Best to weak case DCF valuation ranges over $550/share with gross profits as the leading driver. The beta of 1.3 used is forward-looking and suggests a lower-than-historical WACC.

[1] UBS, Timothy Arcuri — PT raised to $1,625 from $535, Buy maintained, May 26, 2026. Source: UBS Research via Yahoo Finance / Investing.com.

OPPORTUNITIES FOR IMPROVEMENT

1 **Quality-of-life Improvements**

Add cover page, executive summary, scenarios, and assumptions tabs at the beginning of the model for easier readability.

2 **Scenario expansion**

Add another scenario between base and weak case to demonstrate another alternate economic possibility.

3 **Break out HBM separately**

Isolate high-bandwidth memory given its premium pricing and distinct AI-driven supply dynamics.

4 **Valuation improvements**

Complement the DCF with comparable-company multiples and further test assumptions.